

**Table 3.3** Price Move after Pattern End

| Description                                               | Bull Market | Bear Market |
|-----------------------------------------------------------|-------------|-------------|
| How often does price reach or exceed D?                   | 100%        | 99%         |
| How often does price turn at D?                           | 38%         | 33%         |
| How often does D appear within a week of calculated time? | 50%         | 47%         |
| How many rise to point A?                                 | 40%         | 22%         |
| How many rise to point B?                                 | 83%         | 80%         |
| How many rise to point C?                                 | 47%         | 33%         |

**How often does price turn at D?** Here's where the pattern stumbles. For those stocks dropping to D, only about a third will turn when they are supposed to. [Figure 3.3](#) shows an example of this when price ignores D and continues lower to bottom at F.

**How often does D appear within a week of calculated time?** Using the first three turns to predict the *time* when turn D will appear works about half the time. It could be better, but sometimes having a clue when something will happen can improve your trading. Use this idea just like I explain with price in the Identification Guidelines. That is, find the ratio between the time to move from B to C compared to the time to move from A to B. Point D should appear following the formula,  $(C - B)/\text{Ratio} + C$ , where ratio is the number you just found.

I'll discuss an example of this in the Sample Trade.

**How many rise to...?** For those patterns seeing price drop to D and turn upward, how far does price rise? The answer to that question is vital for swing traders.

I used the pattern's turns to gauge success. Point B is closest to turn D, and we see price climb that far 83% of the time in bull markets. That's very good.

Use A, which is at the top of the pattern, and we see that price makes it up that far less than half the time (40%).